

CREDENT GLOBAL FINANCE LIMITED
(Formerly Known as Oracle Credit Limited)
CIN: L65910MH1991PLC404531

RELATED PARTY TRANSACTION POLICY

(As per section 188 of Companies Act 2013 read with the terms of SEBI (Listing Obligations Disclosure Requirements), Regulations 2015

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1. PREAMBLE

The Board of Directors (the “Board”) of Credent Global Finance Limited (the “Company” or “CGFL”), has adopted the following policy and procedures with regard to Related Party Transactions as defined below. The Audit Committee will review and may amend this policy from time to time. This policy will be applicable to the Company. This policy is to regulate transactions between the Company and its Related Parties based on the applicable laws and regulations applicable on the Company.

2. SCOPE AND PURPOSE OF THE POLICY

Related party transactions can present a potential or actual conflict of interest which may be against the best interest of the company and its shareholders. Considering the requirements for approval of related party transactions as prescribed under the Companies Act, 2013 (“Act”) read with the Regulations of SEBI (Listing Obligations Disclosure Requirements), Regulations, 2015 (as amended by SEBI Circulars dated October 23, 2023), Credent Global Finance Limited (“the Company”) has formulated guidelines for identification of related parties and the proper conduct and documentation of all related party transactions.

Also, Regulation 23(1) of the SEBI (Listing Obligations Disclosure Requirements), Regulations, 2015 requires a company to formulate a policy on materiality of related party transactions and dealing with related party transactions.

In light of the above, Credent Global Finance Limited has framed this Policy on Related Party Transactions (“Policy”). This Policy has been adopted by the Board of Directors of the Company based on recommendations of the Audit Committee. Going forward, the Audit Committee would review and amend the Policy, as and when required, subject to the approval of the Board.

3. ABOUT THE COMPANY

Credent Global Finance limited, a non-deposit accepting NBFC, is a company conceived and nurtured by the promoter Aditya Vikram Kanoria. The company is been managed by professionals having expertise and experience in finance and administration. Our company provides a range of financial services, which includes lending of money, with or without security, dealing in securities/shares, bonds and investment in stock markets, loan syndication services.

4. OBJECTIVE

The objective of this Policy is to set out

- (a) The materiality thresholds for related party transactions and;
- (b) The manner of dealing with the transactions between the Company and its related parties based on the Companies Act 2013, Regulation 23(1) SEBI (Listing Obligations Disclosure Requirements), Regulations, 2015 of and any other laws and regulations as may be applicable to the Company

This Policy shall regulate transactions between the Company and its Related Parties based on the applicable laws and regulations applicable on the Company and also lay down mechanism for identification, approval, review and reporting of such transactions.

Definitions

- ✚ **“Audit Committee (Committee)”** means Committee of Board of Directors of the Company constituted under Regulation 18 of the SEBI (Listing Obligations Disclosure Requirements) Regulations, 2015 as well as the Companies Act, 2013.
- ✚ **“Board”** means Board of Directors of the Company.
- ✚ **“Control”** shall have the same meaning as defined in SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.
- ✚ **“Key Managerial Personnel”** means key managerial personnel as defined under the Companies Act, 2013.
- ✚ **“Material Related Party Transaction under Companies Act 2013”** means a transaction as defined under section 188(1) of the Companies Act, 2013 with a related party defined under section 2(76) of the said Act where the aggregate value of the transaction / transactions to be entered into individually or taken together with previous transactions during a financial year, exceeds the limits as prescribed under the said Act from time to time.
- ✚ **“Material Related Party Transaction under SEBI (Listing Obligation Disclosure Requirements), Regulations, 2015”** means a transaction with a related party if the transactions entered into individually or taken together with previous transactions during a financial year, exceeds ten percent of the annual consolidated turnover of the company as per the last audited financial statements of the company.
- ✚ **“Policy”** means this Policy on Related Party Transactions policies for Credent Global Finance Limited.
- ✚ **“Related Party”** as per SEBI (Listing Obligation Disclosure Requirements), Regulations, 2015”, an entity shall be considered as related Party to the company if:
 - such entity is a related party under Section 2(76) of the Companies Act, 2013; or
 - Such entity is a related party under the applicable accounting standards.
- ✚ **“Related Party Transaction”** means any transaction directly or indirectly involving any Related Party which is a transfer of resources, services or obligations between a company and a related party, regardless of whether a price is charged.
- ✚ **“Relative”** means relative as defined under section 2(76) of the Companies Act, 2013.
- ✚ **“Arm’s length transaction”** means a transaction between two related parties that is conducted as if they were unrelated, so that there is no conflict of interest.

5. DEALING WITH RELATED PARTY TRANSACTIONS

Related Party Transactions are prohibited, unless approved or ratified by the Audit Committee and/ or the Board of Directors of the Company in accordance with this policy. In dealing with Related Party Transactions, the Company will follow the following approach:

I. Identification of Potential of Related Party Transactions

All Related Party Transactions must be brought to the notice of the Audit Committee of the Company.

Any employee of the Company who is aware of any transaction that is or may be perceived to be a Related Party Transaction is required to bring the same to the attention of the Audit Committee of the Company through Company Secretary.

All Directors, Members of the Committee and Key Managerial Personnel (KMPs) are responsible for informing the Company of their interest (including interest of their Relatives) in other companies, firms or concerns at the beginning of every financial year and any change in such interest during the year. In addition, all Directors, Members of the Committee and KMPs are responsible for providing notice to the Company Secretary of any potential Related Party Transaction involving him/her or his or her relative, including any additional information about the transaction that the Audit Committee may request. The Board shall record the disclosure of interest and the Audit Committee will determine whether the transaction is in the ordinary course of business and on an arm's length basis.

Such notice of any potential Related Party Transaction should be given well in advance so that the Company Secretary has adequate time to obtain and review information about the proposed transaction and to refer it to the Audit Committee.

II. Prohibitions & Approval related to Related Party Transaction

All related party transactions shall require prior approval of the Audit Committee. However, the Audit Committee may grant omnibus approval for Related Party Transaction proposed to be entered into by the Company subject to the following conditions:

- The Audit Committee shall lay down the criteria for granting the omnibus approval in line with the policy on Related Party Transactions of the Company and such approval shall be applicable in respect of transactions which are repetitive in nature.
- Entered in the ordinary course of business and are at Arm's Length. The expression Arm's Length has the meaning ascribed to it under Section 188 of the Companies Act, 2013.
- The Audit Committee shall satisfy itself the need for such omnibus approval and that approval is in interest of the Company.
- Such omnibus approval shall specify:
 - (i) the name/s of the Related Party, nature of transaction, period of transaction, maximum amount of transaction that can be entered into,
 - (ii) the indicative value and the formula for variation in the value, if any and
 - (iii) such other conditions as the Audit Committee may deem fit.

To review the transactions, the audit committee shall be provided with the necessary information to the extent relevant.

It is further provided that where the need for related party transaction cannot be foreseen and aforesaid details are not available, Audit Committee may grant omnibus approval for such transaction subject to the limit as prescribed under equity listing agreement or any other applicable from time to time.

Such omnibus approval shall be valid for a period not exceeding one year and shall require fresh approval after the expiry of one year or shall be valid for such other period as may be prescribed under any other applicable laws time to time

The Audit Committee shall on quarterly basis review the details of the Related Party Transactions entered into by the Company pursuant to the omnibus approval.

Further, all Material Related Transaction shall require approval of the shareholders through special resolution and all entities falling under the definition of the Related Parties shall abstain from voting irrespective of whether the entity is a party to the particular transaction or not.

III. Review and Approval of Related Party Transactions

Related Party Transactions are prohibited, unless approved or ratified by the Audit Committee of the Company in accordance with this policy.

All Related Party Transactions shall be referred to the next scheduled meeting of Audit Committee for review and approval. Any member of the Audit Committee who has a potential interest in any Related Party Transaction will abstain from discussion and voting on the approval of the Related Party Transaction. Such member may, however, participate in discussions with respect to other Related Party Transactions placed for approval or ratification of the Audit Committee.

In an unforeseen event where a Related Party Transaction, for which Omnibus approval has not been given by the Audit Committee, needs to be entered due to business exigencies between two Audit Committee meetings, the Audit Committee may approve such Related Party Transaction by passing a resolution by circulation, after satisfying itself that such transaction is in the interest of the Company.

Ratification, if any, of a Related Party Transaction after its commencement or completion will be approved by the Audit Committee in exceptional circumstances only.

A Related Party Transaction entered into without prior approval of the Audit Committee shall not be deemed to violate this policy, or be invalid or unenforceable, so long as the transaction is brought to the Audit Committee for ratification as promptly as reasonably practical after it is entered into and such transaction is ratified.

All Related Party Transactions that are not in the ordinary course of business or not on arm's length basis shall be referred to the Board of Directors for their approval.

Any such Related Party Transactions shall also be placed for prior approval of shareholders if it exceeds the thresholds as prescribed under the Companies Act, 2013 and rules framed there under and the **SEBI (Listing Obligation Disclosure Requirements) Regulations, 2015**.

6. BOARD APPROVAL:

If audit committee is of the view that a related party transaction should be placed mandatorily under any law, before the Board of Directors of the company for its approval, and/or the Board suo-moto decided to review or to approve any related party transaction, has to be placed before the Board accordingly for its reviewing and approval and the considerations set forth above, with such modification as may be necessary or appropriate under the circumstances.

Further, all related party transactions are part of strategic matters as prescribed under Article of association of the company. And such Related Party transactions are required to be approved in terms of requirement as provided under the Article of Association of the company and as per other provision of applicable laws.

7. RELATED PARTY TRANSACTIONS NOT APPROVED UNDER THIS POLICY

In the event the Company becomes aware of a Related Party Transaction with a Related Party that has not been approved under this Policy prior to its consummation, the matter shall be reviewed by the Committee. The Committee shall consider all of the relevant facts and circumstances regarding the Related Party Transaction, and shall evaluate all options available to the Company, including ratification, revision or termination of the Related Party Transaction. The

Committee shall also examine the facts and circumstances pertaining to the failure of reporting such Related Party Transaction to the Committee under this Policy, and shall take any such action it deems appropriate.

In any case, where the Committee determines not to ratify a Related Party Transaction that has been commenced without approval, the Committee, as appropriate, may direct additional actions including, but not limited to, immediate discontinuation or rescission of the transaction. In connection with any review of a Related Party Transaction, the Committee has authority to modify or waive any procedural requirements of this Policy.

8. DISCLOSURE(S)

Details of all material Related Party Transactions with related parties shall be disclosed to Stock exchange on regular basis as prescribed under applicable laws, along with the compliance report on corporate governance.

The company shall disclose the policy on dealing with Related Party Transactions on its website and a web link thereto shall be provided in the Annual Report.

9. AMENDMENTS TO THE POLICY

The Policy on Related Party Transactions may be amended at any time and is subject to any further change in the Listing Agreement or the Companies Act, 2013 (the Act) or rules/regulations made thereunder by the Audit Committee of the Company, subject to the approval of the Board of Directors of the Company.